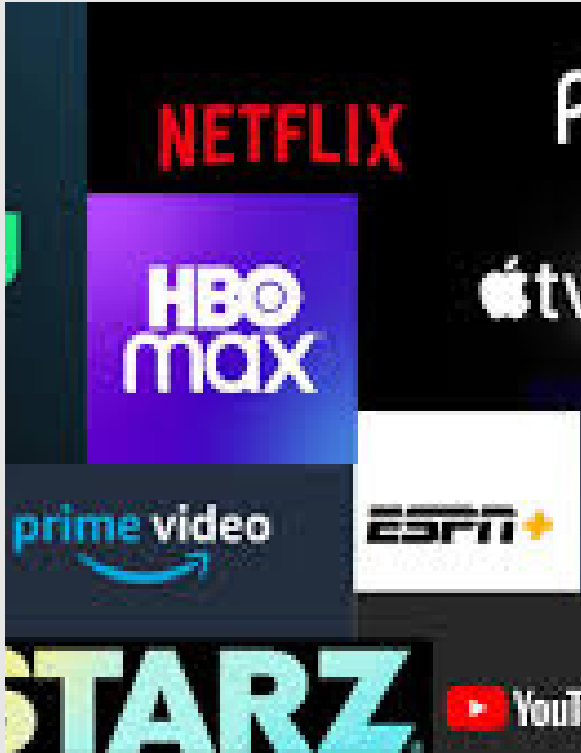


EVERYDAY ECON



THE ECONOMICS OF STREAMING SERVICES

When streaming first grew in popularity, the seemingly affordable subscriptions, lack of commercials, and convenient access drew many buyers. However, throughout the years, viewers have noticed climbing prices.

Streaming companies spend billions of dollars on producing new shows and buying rights to existing ones. Furthermore, since people have started relying on streaming services for their favorite shows, they refuse to lose access and their demand becomes more inelastic. They continue to subscribe despite companies raising prices, and companies know this as well. Pressure from investors, password sharing, and general inflation all contribute to the pressure that streaming services feel to increase prices and profitability.

Ultimately, streaming companies' price hikes demonstrate how economics shapes our spending, watching, and how we consume entertainment.

THE OPPORTUNITY COST OF BUYING COFFEE EVERYDAY

As the trend of coffee culture prevails further, accordingly, people have started buying coffee daily. It feels like a small price to pay—just \$5 down the drain—but it also matters what else you could've done with the money.

If you bought a \$5 coffee every weekday, \$25 per week would be spent, which turns into around \$1,300 per year.

Though it feels small, those repeated decisions add up.

Alternatively, you could invest that \$1,300 and receive +\$10,000 after a decade. That \$1,300 could also be used to fund a vacation, pay off loans, or to cover rent for a few months. Furthermore, brewing coffee at home saves time, money, and it reduces your sugar intake severely.

Naturally, the occasional cup of coffee can provide convenience, social interaction, and satisfaction.

Nonetheless, it's not that you shouldn't buy coffee, but that your each purchase represents a trade-off.

